

PROPOSITION
**30 PROVIDES FUNDING FOR PROGRAMS TO REDUCE AIR POLLUTION
AND PREVENT WILDFIRES BY INCREASING TAX ON PERSONAL
INCOME OVER \$2 MILLION. INITIATIVE STATUTE.**

OFFICIAL TITLE AND SUMMARY

PREPARED BY THE ATTORNEY GENERAL

The text of this measure can be found on page 111 and the Secretary of State's website at voterguide.sos.ca.gov.

- Increases tax on personal income over \$2 million by 1.75% for individuals and married couples and allocates new tax revenues as follows: (1) 45% for rebates and other incentives for zero-emission vehicle purchases and 35% for charging stations for zero-emission vehicles, with at least half of this funding directed to low-income households and communities; and (2) 20% for wildfire prevention and suppression programs, with priority given to hiring and training firefighters.
- Requires audits of programs and expenditures.

**SUMMARY OF LEGISLATIVE ANALYST'S ESTIMATE
OF NET STATE AND LOCAL GOVERNMENT FISCAL
IMPACT:**

- Increased state tax revenue ranging from \$3.5 billion to \$5 billion annually, with the new funding used to support zero-emission vehicle programs (80 percent) and wildfire response and prevention activities (20 percent).

ANALYSIS BY THE LEGISLATIVE ANALYST

BACKGROUND

California Personal Income Taxes. The state collects a tax on personal income earned within the state. Last year, the personal income tax raised over \$130 billion in revenue. Most of the revenue helps pay for education, prisons, health care, and other public services.

Zero-Emission Vehicle Programs. The state has goals to limit greenhouse gas emissions that contribute to climate change, such as carbon dioxide from burning fossil fuels. To help meet these goals, the state has programs that promote zero-emission vehicles (ZEVs)—or vehicles that do not release pollution from the tailpipe. Examples of ZEVs include electric cars and hydrogen fuel cell cars. The state requires ride-sharing companies (such as Uber and Lyft) to use an increasing number of ZEVs for their services. The state also gives some funding to help households, businesses, and governmental

agencies buy new ZEVs and install fueling infrastructure, such as charging stations for electric cars.

Wildfire Response and Prevention Programs.

The state has the main responsibility for wildfire response activities—commonly known as firefighting—on about one-third of California's land area. (The federal government and local agencies have the main responsibility for wildfire response everywhere else in California.) Wildfire response activities help limit the spread of large wildfires and stop them from damaging communities and harming residents. The state also runs wildfire prevention programs to reduce the chances that wildfires will start and to limit the damage they cause when they do occur. Some examples of wildfire prevention activities include removing trees from overgrown forests and clearing dead plants that are likely to catch on fire in areas near buildings.

PROPOSAL

CREATES A NEW TAX ON HIGH-INCOME TAXPAYERS

Beginning January 2023, Proposition 30 requires taxpayers with incomes above \$2 million each year (annually) to pay an additional tax of 1.75 percent on the share of their income above \$2 million. This additional tax would end by January 2043. The tax could end several years earlier if California is able to drop its statewide greenhouse gas emissions below certain levels before then.

USES REVENUE TO EXPAND ZEV PROGRAMS AND WILDFIRE ACTIVITIES

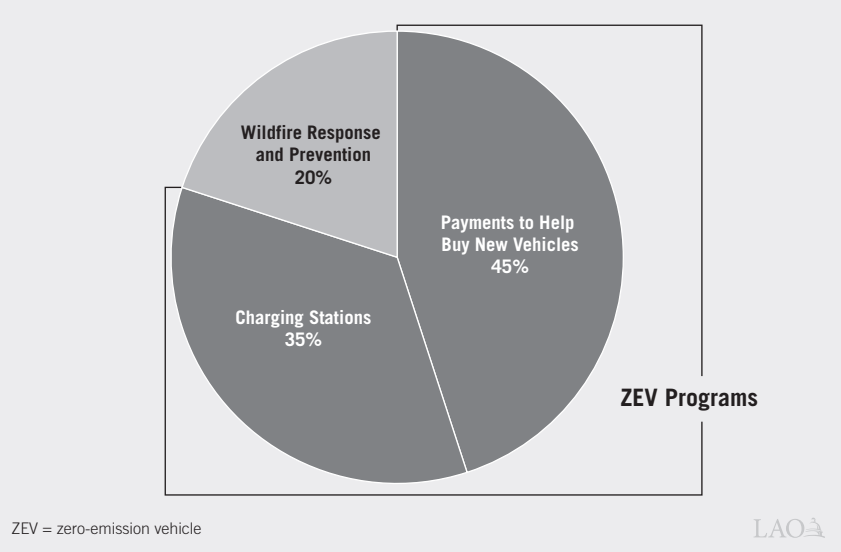
Proposition 30 requires that the revenue from the new tax go to increasing funding for ZEV programs and wildfire activities, as shown in Figure 1. The money would go to several state agencies to manage the programs and activities.

ZEV Programs (80 Percent). About 80 percent of the total revenue is for two ZEV program categories:

- **Payments to Help Buy New Vehicles.** Most of this money must be used to help households, businesses, and governments pay for part of the cost of new passenger ZEVs (such as cars, vans, and pick-up trucks). The rest of the money would be available for other programs. These include payments to businesses

Figure 1

Proposition 30 Uses Increased Revenue for ZEV Programs and Wildfire Activities



and governments to help buy large ZEVs (such as trucks and buses) and programs that encourage less driving and improve local air quality.

- **Charging Stations.** This money would be used to install and operate ZEV charging and fueling stations at places such as apartment buildings, single-family homes, and public locations.

For each category above, at least half of the money must be spent on projects that benefit people who live in or near heavily polluted and/or low-income communities. The rest of the money could be spent on projects anywhere in the state.

Wildfire Response and Prevention Activities (20 Percent). About 20 percent of total revenue must be spent on wildfire response and prevention activities. In general, the state would have to prioritize spending to hire, train, and retain state firefighters. The

ANALYSIS BY THE LEGISLATIVE ANALYST

CONTINUED

rest of the money could be used for other wildfire response and prevention activities.

FISCAL EFFECTS

Increased State Tax Revenues From New Tax for ZEV Programs and Wildfire Activities. The new tax on high-income taxpayers typically would raise \$3.5 billion to \$5 billion annually, growing over time. This range reflects the changes in the incomes of high-income taxpayers. Their incomes often change greatly due to changes in the economy and stock market. Based on the spending requirements in Proposition 30, this funding would support:

- ***ZEV Programs.*** The proposition would increase state funding for ZEVs by \$2.8 billion to \$4 billion annually. The state typically spends hundreds of millions of dollars annually on ZEV programs and also recently committed to spending about \$10 billion over a five-year period on these programs.
- ***Wildfire Response and Prevention Activities.*** The proposition would increase state funding for wildfire response and prevention activities by \$700 million to \$1 billion annually. The state typically spends about \$2 billion to \$4 billion annually on wildfire activities, mostly on firefighting.

Potential State and Local Effects From Increased ZEV Spending. The additional funding for ZEV programs under Proposition 30 could impact the number of ZEVs, as well as gasoline- or diesel-powered vehicles, being driven in California. However, the actual effect the proposition would have is uncertain for a variety of reasons. Most notably, while this

analysis was being written, the state was considering requiring that car companies sell an increasing share of ZEVs in future years until 2035 when they would only be able to sell ZEVs. (The state was scheduled to decide on this requirement by August 2022.) This requirement is sometimes called a “ZEV mandate.” The proposition’s potential transportation-related fiscal effects on state and local governments depend on whether or not the ZEV mandate is approved.

- If the state *approves* the ZEV mandate, then the additional funding from the proposition to help buy new ZEVs would not have much effect on the total number of ZEVs driven in California. This is because the ZEV mandate would already require a significant increase in the number of ZEV sales, even without the additional spending. Instead, the proposition’s main effect would be to shift who pays for the ZEVs. That is, more costs would be covered by revenue from the new tax on high-income taxpayers instead of by vehicle sellers and/or buyers. This would not have much effect on state and local finances.
- If the state *does not approve* the ZEV mandate, then the funding from the proposition to help buy new ZEVs would increase the number of ZEVs—and decrease the number of gasoline- or diesel-powered vehicles—driven in California. As a result, the amount of gasoline being used would be less. Over the long term, this change could have several different fiscal effects on state and local governments, including lower gasoline tax revenues that are used for transportation projects,

ANALYSIS BY THE LEGISLATIVE ANALYST

CONTINUED

higher revenues from electricity taxes, and other effects related to less air pollution. The net fiscal effect of these changes are uncertain, but likely minor compared to the hundreds of billions of dollars state and local governments spend annually on all activities.

Potential Decreased State and Local Costs for Wildfire Response and Recovery.

Proposition 30 could somewhat decrease state and local government costs related to firefighting, clean-up, and recovery if the additional funding for wildfire activities ends up reducing the severity of future wildfires. However, any cost reductions would depend on (1) which specific wildfire activities end up being funded, (2) how effectively these activities reduce wildfire severity, and (3) the severity of wildfires that would have otherwise taken place in any specific year. All of these factors are uncertain, which makes the size of the potential fiscal effects on state and local governments unclear.

Decreased State Revenue for Other Activities.

Some taxpayers probably would take steps to reduce the amount of income taxes they owe. This would reduce existing state revenues used to pay for activities not funded by Proposition 30. The degree to which this would happen and how much revenue the state might lose as a result is unknown.

Potential Reductions to Other State Programs to Comply With State Spending Limit.

With some exceptions, such as responding to emergencies and building infrastructure, the California Constitution limits how much the state can spend. In recent years, state spending has reached this limit. Some of the spending required by Proposition 30—likely an amount ranging from about \$1.5 billion to \$3 billion annually—would count toward this limit. As a result, when state spending is at the limit, the proposition would require the state to reduce an equal amount of spending from other programs to “make room” for the new required spending on ZEV programs and wildfire activities.

Visit <https://www.sos.ca.gov/campaign-lobbying/cal-access-resources/measure-contributions/2022-ballot-measure-contribution-totals> for a list of committees primarily formed to support or oppose this measure.

Visit <https://www.fppc.ca.gov/transparency/top-contributors.html> to access the committee’s top 10 contributors.

30

★ ARGUMENT IN FAVOR OF PROPOSITION 30 ★

CALIFORNIANS DESERVE CLEAN AIR TO BREATHE

Climate change is fueling extreme heat, prolonged drought and catastrophic wildfires that are taking lives, destroying homes and costing California's economy tens of billions of dollars.

Fire season is now year-round. The air quality in California is the worst in the country (*2022 American Lung Association report*). The toxic, polluted air exposes us—especially children and seniors—to increased health risks like asthma, heart attacks, lung cancer and strokes.

Existing programs are not enough to address this growing threat to California's economy, environment and public health. We must act urgently to reduce the top two sources of air pollution and greenhouse gases in California: wildfires and vehicles.

PROP. 30 WILL REDUCE CATASTROPHIC WILDFIRES AND AIR POLLUTION FROM VEHICLES

Prop. 30 provides funding to improve California air quality by:

- Preventing and fighting wildfires.
- Providing consumers rebates to help them afford clean, zero-emission electric vehicles.
- Creating a statewide network of affordable, convenient charging stations for electric vehicles.

The measure is funded by a 1.75% tax increase on the roughly 35,000 Californians who make more than \$2 million annually. PERSONAL INCOME BELOW \$2 MILLION IS NOT TAXED.

Only the wealthiest 0.2% will be impacted. *Small business revenue is NOT taxed.*

PREVENTING WILDFIRES AND PROTECTING HOMES

Prop. 30 funds critically needed programs to prevent catastrophic wildfires and protect homes, including:

- Managing forests to reduce dry vegetation that fuels extreme wildfires.
- Improving protective space around homes and businesses to reduce the risk wildfires spread through communities.
- Hiring and training state firefighters and increasing firefighting equipment to stop wildfires before they grow out of control.

Our firefighters put their lives on the line to protect us—they deserve more help as they face increasingly dangerous fires.

PROP. 30: STRICT ACCOUNTABILITY

- Caps administrative expenses.
- Requires independent audits by the State Auditor and State Controller to ensure funds get spent as intended.
- Prohibits the Legislature from appropriating funds for other purposes.
- Provides criminal and financial penalties for misuse of funds.

MAKING ELECTRIC VEHICLES A MORE AFFORDABLE CHOICE

Gas is too expensive. Consumers want options, but many can't afford an electric vehicle. Prop. 30 provides DIRECT REBATES AND FINANCIAL ASSISTANCE TO CONSUMERS to make sure low- and middle-income families who want an electric vehicle can afford one. School buses, farm equipment and big rig trucks are also eligible to help reduce diesel pollution.

EXPANDING CHARGING INFRASTRUCTURE STATEWIDE

Prop. 30 develops the network of affordable charging stations throughout the state that we need—creating thousands of good-paying green jobs. Homes, apartments, businesses and local governments are eligible to ensure charging a car is more convenient than buying gas: available at work, home and in commercial and public spaces. The measure will upgrade the electric grid to ensure reliability as we transition to more electric vehicles.

OUR KIDS DESERVE A FUTURE WITH CLEAN AIR

With Prop. 30, we can reduce extreme wildfires and restore clean air to California. Please join state firefighters, nurses, doctors, scientists, environmental groups and businesses across California in support.

www.Yeson30.org

Tim Edwards, President

CalFire State Firefighters

David Tom Cooke, M.D., FACS

American Lung Association

Sherry Jackman, Vice Chair

Coalition for Clean Air

★ REBUTTAL TO ARGUMENT IN FAVOR OF PROPOSITION 30 ★

CALIFORNIANS DESERVE CLEAN AIR. That's why California is spending more than \$50 billion for a multi-year climate investment, including \$10 billion to accelerate the transition for zero emission vehicles (ZEVs). California is working to protect our neighborhoods, farms, and communities from the impact of climate change, fight pollution and suppress wildfires.

CALIFORNIANS FACE HISTORIC INFLATION RATES. We don't need to face billions in higher taxes. Proposition 30's narrow focus puts a special interest lock box on these new income taxes—normally the largest source of funding for California's K–12 schools and community colleges, making them unavailable in the future. This tax provides no funding for healthcare, public safety, agriculture, or services for the elderly and homeless; and does little to help state and local governments save for the future.

LOW INCOME CALIFORNIANS ARE NOT GUARANTEED ZEVs WILL BE AFFORDABLE. While many Californians are

struggling to pay rent and put food on the table, Prop. 30 does not guarantee low income families will be able to buy ZEVs. Most ZEVs are purchased by wealthy and upper middle-class Californians. Prop. 30 doesn't resolve this deep inequity.

THE CALIFORNIA AIR RESOURCES BOARD RULED RIDESHARE COMPANIES, INCLUDING LYFT, MUST GO 90% ZERO EMISSION BY 2030. Rather than pay its fair share, LYFT lobbied the state to pay for ZEV infrastructure and corporate subsidies.

Now, LYFT has spent more than \$15 million to fund Proposition 30. Why? So that taxpayers will pick up the tab for billions of dollars in ZEV upgrades LYFT needs.

VOTE NO.

E. Toby Boyd, President

California Teachers Association

Jack O'Connell, State Superintendent of Public Instruction, Ret.

★ **ARGUMENT AGAINST PROPOSITION 30** ★

PROP. 30 WILL INCREASE TAXES FOR UP TO 20 YEARS BY AT LEAST \$30 BILLION AND AS MUCH AS \$90 BILLION, DRIVING UP COSTS FOR EVERY CALIFORNIAN.

California families are feeling the pinch from high inflation, and rising gas, food and housing prices. The last thing we need now are higher taxes, especially if the recession predicted by many economists hits families and threatens their livelihoods.

Californians already pay the highest state income taxes and highest gas taxes, one of the highest sales taxes, and grapple daily with among the highest costs of living in the nation. Prop. 30 will be the largest tax increase in California in over a decade—as utility rates skyrocket for homeowners and small businesses, and higher taxes get passed on to consumers.

PROP. 30 WILL SEVERELY STRAIN A STRUGGLING ELECTRICITY GRID ALREADY AT RISK OF ROLLING BLACKOUTS.

Prop. 30 would add up to three million new zero-emission vehicles in California over the next ten years, which means the state would need to increase the capacity of the current electricity grid to handle this massive increase. This expense is NOT included in Prop. 30 and could be paid for by regular utility ratepayers (who already pay some of the highest rates in the nation). Utility costs could skyrocket, and ratepayers could pay much higher electricity bills each month.

California's power grid is already stressed to the brink each summer—just two years ago many Californians suffered rolling blackouts. Our electricity grid is already at the limit in the summer months, and Prop. 30 will increase demand so the risk of rolling blackouts will become even worse.

CALIFORNIA IS CURRENTLY POURING BILLIONS OF DOLLARS INTO ELECTRIC VEHICLE PROGRAMS.

More new tax revenue is unnecessary. The State budget surplus grew to \$97.5 billion this year. The state has already developed a spending plan to ensure the rapid adoption of zero emission vehicles without raising taxes and without threatening the stability of the electricity grid, and has already budgeted \$10 billion to achieve these goals. If more funding is needed, the state's budget surplus can be tapped—instead of raising more new taxes.

MORE SPENDING ON WILDFIRE PROTECTION CAN EASILY BE PAID USING THE STATE'S BUDGET SURPLUS.

California currently spends billions of dollars annually on wildfire prevention and suppression. Using part of the state's \$97.5 billion surplus, this year spending nearly \$4 billion on wildfire protection—with more than a thousand new fire fighter positions. This initiative would make a small increase to their budget, an amount that could easily be funded from the state's budget surplus.

JOIN TAXPAYERS, TEACHERS AND SMALL BUSINESSES TO REJECT THIS UNNECESSARY TAX INCREASE THAT COULD PUT OUR ELECTRICITY GRID AT RISK!

Jon Coupal, President
Howard Jarvis Taxpayers Association

Betty Jo Toccoli, President
California Small Business Association

Joe Coto, President
United Latinos Action

★ **REBUTTAL TO ARGUMENT AGAINST PROPOSITION 30** ★

PROP. 30: FEWER WILDFIRES, CLEANER AIR. FUNDED BY TAXING BILLIONAIRES.

Climate change is fueling catastrophic wildfires that pose a growing threat to our lives, property and economy. California's air is polluted, threatening our health.

Our state government is not doing enough—even with a budget surplus!

Prop. 30 asks the wealthiest 0.2% to pay their fair share for programs to prevent wildfires and reduce air pollution—so Californians have clean air to breathe.

Here are the facts about Prop. 30:

ONLY TAXES PERSONAL INCOME OVER \$2 MILLION.

Taxpayers earning below \$2 million annually will not pay higher taxes or costs. [Section 2, 17044(a).]

IMPROVES ELECTRIC GRID RELIABILITY

• Provides billions in funding for grid upgrades and infrastructure to ensure reliability. • Prohibits actions that could compromise the grid. [Section 1, 80211]

"Electric vehicles store electricity that could be put *back* on the grid when it is stressed, helping *prevent* blackouts."—Ethan Elkind, Climate Program Director, UC Berkeley School of

Law Center for Law, Energy, and the Environment

SAVES CONSUMERS MONEY ON ELECTRIC CARS

A 2020 Consumer Reports Study found consumers save \$6,000–\$10,000 on lower maintenance and fueling costs over the life of an electric vehicle, compared to gas-powered cars. Prop. 30 helps consumers afford electric vehicles, so they can **SAVE MONEY ON GAS** and maintenance. [Section 1, 80221]

PROP. 30: SUPPORTED BY STATE FIREFIGHTERS, OPPOSED BY BILLIONAIRES

The billionaires and CEOs behind the opposition will say anything to avoid higher taxes—even for wildfires and clean air. Get the facts and decide for yourself: www.Yeson30.org/getthefacts

Join state firefighters, environmental groups, consumer advocates and energy experts: **YES on 30.**

Mary Creasman, CEO
California Environmental Voters

Max Baumhefner, Senior Attorney on Climate and Clean Energy
Natural Resources Defense Council

Dr. Jose Pablo Ortiz Partida, Senior Climate Scientist
Union of Concerned Scientists